



IN ITS TWO previous terms, the Prime Minister Narendra Modi-led National Democratic Alliance government has prioritised expenditure on infrastructure development. So, hopes are riding high in the sector that the government will continue to tread this path as it presents the first full Budget of its third term.

Such optimism is not without reason. Finance Minister Nirmala Sitharaman said in her Budget speech last year, “We will endeavour to maintain strong fiscal support for infrastructure over the next five years, in conjunction with imperatives of other priorities and fiscal consolidation.”

The government allocated a record capital outlay of ₹11.11 lakh crore for infrastructure in Budget 2024-25. Nearly half of that was set aside for road and railway projects—₹2.78 lakh crore for roads and ₹2.65 lakh crore for rail—signalling the sector’s centrality in making India a

\$7-trillion economy by 2030. The focus on transport infrastructure is expected to continue with an estimated increase of 10% in Budget 2025-26.

The government will likely focus on improving road infrastructure in rural areas and smaller towns with increased spending on the Pradhan Mantri Gram Sadak Yojana. The Ministry of Road Transport and Highways (MoRTH) is expected to see an increase in outlay.

On the rail front, the Indian Railways may tread a balanced path in this Budget—expanding the Vande Bharat brand of trains for longer distances and high-speed trains, while also increasing production of non-AC and unreserved coaches to cater to the masses.

There could also be a big increase in spending on safety infrastructure such as track maintenance and upgrade on 70,000 route kilometres of railway network along with the manufacturing of Linke-Hofmann-Busch (LHB) coaches and modern locomotives.

The Centre is also expected to increase outlay for the port and aviation segments considering their pivotal role in terms of logistics and to improve passenger amenities.

The outlay has grown at an impressive annual rate of 27% over the past five years and industry insiders feel confident that allocation will increase for the transport sector as a whole, in keeping with the trend over the past 10 years, when it saw a fivefold jump in outlay.

“We expect the upcoming Budget to significantly prioritise infrastructure spending... Infrastructure development not only creates immediate employment opportunities but also facilitates long-term economic efficiency, productivity, and competitiveness,” Kavita Shirvaikar, Managing Director of Patel Engineering Ltd, tells *BT*.

TRANSPORT INFRASTRUCTURE WISH LIST



Railways

Continued focus on passenger services, non-AC segment and Vande Bharat

An increase in capex, especially for safety infrastructure



Highways

Provide a boost to rural road development

Priority on modernisation of road infrastructure



Aviation

Improve air connectivity to smaller cities

Enhance infra to reduce congestion at airports